

Fed Pivot Playbook

Historical 45-day sector alpha framework for anticipated policy shifts

Prepared for Titan Entry and institutional consulting use. The model ranks equity sectors by their consistency of alpha generation versus SPY in the 45 trading days before and after Federal Reserve policy-rate changes. The tactical intent is to pre-position ahead of credible Fed easing or tightening signals while preserving explicit drawdown and concentration guardrails.

Model v1.0

Data through 2026-05-27 | 18 detected policy events

Black / white / silver client edition

1. Executive View

- Fed policy changes create a repeatable event window, but leadership depends on direction and timing.
- The model separates pre-decision positioning from post-decision confirmation to avoid mixing anticipation and reaction effects.
- For expected H2 2026 cuts, the playbook emphasizes post-cut consistency first, then pre-cut confirmation when macro data align.
- The recommended sleeve is capped, diversified, and designed to complement rather than replace strategic equity allocations.

2. Methodology

- Universe: SPDR sector ETFs (XLC, XLY, XLP, XLE, XLF, XLV, XLI, XLB, XLRE, XLK, XLU) measured against SPY.
- Window: 45 trading days before and after each detected Fed funds rate change.
- Alpha: sector price return minus SPY price return over the same window.
- Consistency score: average alpha, hit rate, alpha volatility, and drawdown control.
- Event source: FRED effective federal funds rate; price source: Yahoo Finance public chart data.

Implementation note: production deployment should replace price-only returns with total-return data, add live futures-implied Fed probabilities, and enforce account-specific restrictions.

3. Post-Cut Leadership

Sector	ETF	Avg Alpha	Hit Rate	Consistency
Technology	XLK	5.0%	100%	1.49
Health Care	XLV	2.3%	80%	0.82
Communication Services	XLC	1.5%	60%	0.48
Consumer Discretionary	XLY	1.5%	60%	0.25
Energy	XLE	-0.8%	40%	-0.08
Materials	XLB	-1.0%	20%	-0.30
Consumer Staples	XLP	-3.6%	20%	-0.64
Industrials	XLI	-4.5%	20%	-0.90

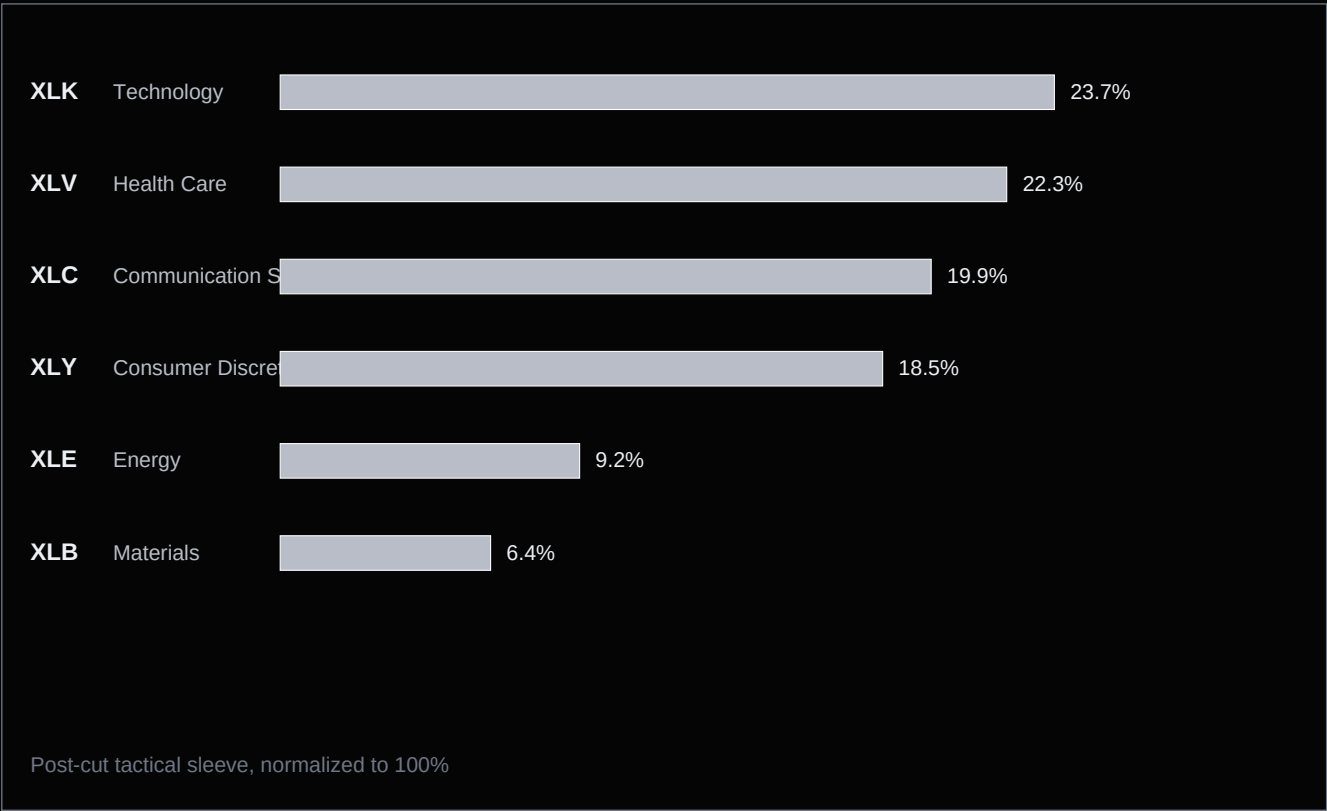
Interpretation: sectors at the top of this table have historically delivered the strongest blend of positive alpha and repeatability after rate cuts. Use these as initial overweight candidates when the Fed confirms an easing turn.

4. Post-Hike Defensive Map

Sector	ETF	Avg Alpha	Hit Rate	Consistency
Technology	XLK	1.2%	54%	0.33
Energy	XLE	1.5%	46%	0.15
Health Care	XLV	-0.2%	54%	-0.04
Industrials	XLI	0.6%	46%	0.16
Financials	XLF	-0.4%	54%	-0.09
Communication Services	XLC	0.2%	46%	0.04
Consumer Staples	XLP	-0.6%	54%	-0.10
Utilities	XLU	-0.7%	54%	-0.09

This page is included as a reversal map. If inflation or fiscal-risk dynamics force renewed tightening, allocations should migrate toward the sectors with better post-hike resilience.

5. Recommended Allocation



Initial sleeve construction: allocate to the top six post-cut sectors by composite score, cap any sector at 25%, and rebalance after the 45-day post-decision window unless the macro regime remains supportive.

6. Risk Guardrails

- Position sizing: 15-25% cap per sector ETF inside the tactical sleeve; max six active sector overweights.
- Market risk: reduce sleeve by one-third if SPY closes below its 100-day moving average during the event window.
- Rate risk: pause rotation if the 10-year Treasury yield rises more than 50 bps while cuts are being priced.
- False pivot risk: require labor-market or inflation confirmation before increasing exposure ahead of the decision.
- Client risk: Titan Entry accounts should use narrower sizing than institutional mandates with explicit IPS approval.

7. Deployment Calendar

- T minus 45 trading days: activate monitoring, rank sectors, and stage model allocations.
- T minus 20 trading days: confirm Fed probabilities, inflation trajectory, credit spreads, and earnings revisions.
- Decision week: execute only if policy signal and market breadth agree; otherwise hold neutral benchmark exposure.
- T plus 45 trading days: harvest alpha, rebalance, or extend only with fresh signal confirmation.

8. Appendix and Disclosures

- Backtests use observable historical data and do not include transaction costs, taxes, slippage, advisory fees, or total-return reinvestment.
- The 45-day window is a tactical research convention, not a guarantee that future Fed cycles will behave similarly.
- Sector ETFs may not match client restrictions or institutional benchmarks; use approved vehicles and mandate-specific limits.
- Research inputs should be refreshed before every client-facing recommendation.